F. Protect Our Security and Sustainability

144. Next, let me touch on security challenges as well as our longer-term sustainability concerns.

Strengthening Defence and Cybersecurity Capabilities

145. The world has never been free of conflict. But in recent years, it has become more dangerous. In 2024 alone, there were 61 state-based armed conflicts worldwide — the highest number recorded since the Second World War.

146. The conflicts are not confined to distant regions. Closer to home, we witnessed one of the most serious armed clashes involving ASEAN member states in years. A longstanding border dispute between Cambodia and Thailand escalated into an open military confrontation — drones, rocket launchers, and even fighter jets were deployed. Civilians were wounded, displaced, and lives were lost.

147. These developments are deeply troubling. They reflect a shrinking space for negotiation, a greater willingness to use force, and a higher risk of miscalculation — with consequences that can easily spill across borders.

148. History has taught us a hard lesson: no one will come to our rescue if Singapore faces a crisis. We alone are responsible for our defence and survival. That's why we must stay vigilant and be prepared for a wider range of security challenges and threats.

149. Since independence, we have invested steadily to safeguard Singapore's peace and stability. That's allowed us to adopt new technologies, and build credible and strong capabilities in both the SAF and the Home Team.

150. The recent conflicts we see around us have also underscored how the nature of warfare is changing. Unmanned aerial systems are now a common feature of modern conflict. They are used not only for surveillance, but also for precision strikes, electronic warfare, and coordinated operations. Drones are cheaper, more accessible, and increasingly sophisticated — allowing even smaller actors to project force in new ways.

151. We will study these developments carefully. We will invest decisively in capabilities that are essential to Singapore's defence. And that includes strengthening our ability to deploy, counter, and operate alongside unmanned systems across all domains.

152. Beyond the physical battlefield, the digital domain has emerged as an increasingly contested arena.

153. We are seeing a sharp rise in attacks by both state-sponsored and non-state actors in cyberspace. They range from scams targeting individuals, to highly sophisticated attacks on critical information systems.

154. Singapore is an attractive target. We have faced attacks from malicious cyber actors, including hostile information campaigns and deliberate attempts to undermine our national security.

155. Over the years, we have strengthened our defences. We established the Cyber Security Agency; built expertise within the Home Team Science and Technology Agency; and stood up the Digital and Intelligence Service in the SAF. These efforts have enabled us to detect, disrupt, and fend off many attacks. But the threat landscape continues to evolve — with attacks becoming more frequent, more coordinated, and more sophisticated.

156. We will therefore continue to strengthen our cybersecurity posture — by deepening capabilities, improving coordination across agencies, and better safeguarding our most critical systems.

157. It is also no longer sufficient to defend government systems alone. Many private sector companies play a critical role in delivering essential services, and their systems are likewise vulnerable. The attackers often exploit smaller or less-protected companies as weak links to gain access to larger systems, and cause widespread disruption. Yet many companies lack the resources or the expertise to deal with these advanced cyber threats.

158. So we will therefore deepen partnerships with industry, especially owners of critical information systems, to improve our preparedness and strengthen our collective cyber defence.

159. All this underscores the importance of sustained investments in our security. For now, we expect to keep defence spending at about 3% of GDP. But we are prepared to spend more if the need arises. Importantly, our security effort goes beyond MINDEF alone. It also includes investments in the security of our critical infrastructure and in the Home Team. **Taken together, we expect overall security-related expenditures to rise in the coming years — to keep Singapore safe and secure in a far more complex threat environment.**

Charting a Sustainable Future

160. Beyond immediate security threats, we must also confront a longer-term challenge to Singapore, and that is the growing impact of climate change.

161. We are already feeling its effects — higher temperatures, heavier rainfall, and more frequent extreme weather events.

162. Unfortunately, global momentum on climate action has slowed. At the 30th Conference of the Parties in Brazil last November, countries were unable to agree on concrete decarbonisation roadmaps. At around the same time last year, the International Maritime Organisation delayed adoption of its Net Zero framework, because member states could not reach consensus.

163. Some governments are scaling back their climate ambitions. But for Singapore, retreating from action is not an option. We will continue to do our part — not only to address climate risks, but also to secure our longer-term resilience and competitiveness.

164. A key pillar of our climate strategy is the carbon tax. It sends a clear price signal to encourage emissions reduction. This is already having an impact. Firms are investing more in low-carbon solutions, and improving energy efficiency.

165. We had earlier announced our carbon tax trajectory for this decade. The tax has just been raised to $45 per tonne for this year and next, and the plan is to reach $50 to $80 per tonne by 2030.

166. For HDB households, the additional U-Save rebates that I highlighted earlier will help to cushion the impact of the carbon tax.

167. For businesses, we will **extend the Energy Efficiency Grant** and **support for green loans under the Enterprise Financing Scheme**. These will help firms invest in energy-efficient and sustainable solutions.

168. While Singapore will continue to contribute responsibly to climate action, we recognise that our actions alone cannot determine global outcomes. We will therefore calibrate our moves cautiously — doing our part to reduce emissions as a responsible global citizen, while taking into account what other countries are doing, in order not to put ourselves at a competitive disadvantage.

169. So beyond 2027, we are assessing Singapore's carbon tax trajectory carefully, in light of international developments. Singapore already has the highest carbon tax rate in the whole of Asia. If global climate momentum continues to weaken, we may need to position ourselves towards the lower end of the $50 to $80 per tonne range by 2030.

170. Looking further ahead, our path to net zero will depend heavily on technological breakthroughs and sustained international cooperation. Without these, it will be increasingly difficult for a small, resource-constrained country like Singapore to move further on our own. The progress of our transition to net zero may therefore be uneven. But our efforts will be credible, forward-looking, and aligned with global realities.

171. Even amidst these uncertainties, we continue to make concrete progress. For example, on clean energy, our sustained push to expand solar deployment is delivering results.

a. We have reached our 2030 solar deployment target of 2 gigawatt-peak ahead of schedule.

b. We will therefore raise the target to 3 gigawatt-peak by 2030. Beyond that, we will continue to maximise solar deployment across all viable surfaces, and progressively set more ambitious targets further into the future.

172. We are also advancing plans to import low-carbon electricity from the region. They are at various stages of development. While not all will materialise, those that do will help to reduce our carbon footprint and strengthen our energy resilience.

173. Importantly, we are actively pursuing possibilities to further diversify our energy mix, be it through hydrogen, geothermal energy, or civilian nuclear power. We are building up capabilities in nuclear energy to be able to assess its safety and viability for Singapore. We have initiated cooperation with the US and France, and are discussing similar arrangements with other partners like South Korea.

174. In transport, we remain committed to achieving 100% cleaner vehicles by 2040. Incentives are in place to encourage early adoption of electric vehicles, and charging infrastructure is being expanded nationwide.

175. We are also greening our aviation and maritime sectors.

a. In aviation, we are supporting demand for sustainable aviation fuel, with a target of 1% sustainable fuel use for flights departing Singapore this year.

b. In shipping, we are partnering industry to develop a low-carbon ammonia bunkering solution on Jurong Island. If successful, Singapore will be among the first countries in the world to supply ammonia commercially as a fuel for international shipping.

176. Sir, the years ahead will be beset by uncertainties — from geopolitical tensions to cyber threats and climate risks. We will face these challenges squarely, and overcome them one by one. That's how we will move forward — steadily and decisively, to build a safer and more sustainable home for generations to come.